

“While the overall direction is positive, the industry will look for close monitoring of duty hikes on select inputs, faster rollout of chemical parks with state-level coordination and sustained support through export incentives”

— SATISH WAGH
Chairman, Basic Chemicals, Cosmetics and Dyes Export Promotion Council (CHEMEXCIL)

(PCPIRs) were approved in Gujarat, Odisha, Andhra Pradesh and Tamil Nadu. Except for Dahej in Gujarat, none has performed well due to gaps in infrastructure, logistics and clearances. Satish Wagh, chairman of the Basic Chemicals, Cosmetics and Dyes Export Promotion Council (CHEMEXCIL), says the industry views the overall direction as positive but will be looking for faster rollout of chemical parks, with state-level coordination among other incentives.

Another key announcement is the proposed Rs 20,000 crore outlay over five years to scale up Carbon Capture, Utilisation and Storage (CCUS). The technology captures factory emissions for reuse or underground storage, helping reduce carbon output across hard-to-abate sectors such as chemicals, steel, cement and power. The European Union, which accounts for 15–17 per cent of India’s exports and enforces stringent environmental standards, adds to the urgency. Although the EU’s Carbon Border Adjustment Mechanism—a tariff on carbon-intensive products—does not yet cover chemicals, its likely expansion could make emissions reduction essential to preserving export competitiveness. ■

BREAKING THE MICRO TRAP

Equity-led growth, faster payments and compliance reform are expected to help micro, small and medium enterprises scale up

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The Union budget has taken a multi-pronged approach towards MSMEs (Micro, Small and Medium Enterprises)—a sector that underpins India’s manufacturing base, export engine and employment landscape. With more than 76 million registered enterprises accounting for close to half of India’s merchandise exports, the budget’s proposals—from a dedicated Rs 10,000 crore SME Growth Fund to an effective TReDS (Trade Receivables Discounting System) financing and the introduction of ‘Corporate Mitras’—aim at equity-led growth, liquidity support and compliance ease.

Limited collateral forces most enterprises to rely on balance sheet-based bank loans, enabling only incremental expansion rather than true scale-up. Unsurprisingly, over 99 per cent of MSMEs remain stuck in the micro segment. The proposed SME Growth Fund is expected to help medium-sized firms graduate into larger enterprises by improving access to equity capital, complemented by the Self-Reliant India Fund—set up in 2021 and now bolstered with Rs 2,000 crore—to support micro enterprises and sustain their access to risk capital. While this addresses the long-standing challenge of scaling up, Anil Bhardwaj, secretary general of the Federation of Indian Micro and Small and Medium Enterprises,